down remaining assets in retirement, as none of the historical rolling periods allowed for real wealth to be higher than its initial level after thirty years. But the modified RMD rule also leads to variable spending. Spending rates increase with age, and if these rates increase too quickly, spending may fall.

Exhibit 6.15

Time Path of Real Spending and Wealth

Modified Required Minimum Distribution Rule (RMDs Multiplied by 1.24)

For 4% Initial Spending Rate, 50/50 Asset Allocation, Rolling 30-Year Retirements

Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds